

Polaris

A volatility-normalised momentum read – identifies assets whose drift is strong relative to their own noise floor.

Polaris is a proprietary market-neutral measure designed to identify short-term, normalised momentum effects across crypto assets.

Its universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques are employed to keep it both stable and relevant, as well as survivorship-bias free.

To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The portfolio is rebalanced daily, with hourly updates provided, 5 minutes past the hour (UTC).

EXAMPLE TOP 40 CROSS-SECTIONAL PORTFOLIO

Top 40 market-cap universe • 200% gross exposure (100% long / 100% short). Long and short the dynamic, point-in-time universe, sized by the factor's cross-sectional strength; rebalanced daily.

[Download Returns \(CSV\)](#) →

PERFORMANCE

Report Period Start Date Jan 2020 • End Date Jul 2026

Cumulative Returns

MTD	Last Month	1M	3M	YTD
-1.4%	8.6%	4.4%	43.1%	27.2%

Annualised Returns (CAGR)

1Y	3Y	5Y	SI
79.3%	75.3%	52.1%	76.1%

RISK PROFILE

Realised Volatility (annualised)

1M	3M	1Y	3Y	5Y	SI
18.1%	21.4%	27.9%	29.9%	29.5%	34.1%

Max Drawdown

%	Date
-31.2%	2023-04-21

CUMULATIVE RETURN



Note – Performance is for an illustrative single-factor portfolio (positions sized proportionally to the factor signal across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

Factor Analysis

[Download Factor Data \(CSV\)](#) →

Diagnostics on the raw factor values, independent of portfolio construction: the quantile and IC plots show whether the signal cross-sectionally separates out- from under-performers, and how consistently. Computed point-in-time on the rolling Top 40 universe (the live factor spans many more tokens – see the raw factor-data CSV in the data room).

Quantile means unavailable: loop of ufunc does not support argument 0 of type int which has no callable sqrt method

Cumulative quantile unavailable: loop of ufunc does not support argument 0 of type int which has no callable sqrt method

IC unavailable: 'float' object has no attribute 'shape'

ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at unravel.finance; see the materials below.

[View this factor on unravel.finance](#) →

[Replication notebook – backtest in AlphaLens](#) →

Have further questions? [Book a call with our team – unravel.finance/booking](#)

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